

Statements of financial position at 31 March 20X5

	Alpha	Beta
	\$'000	\$'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2)	240,000	140,000
Financial assets (Exhibits 2 and 4)	<u>182,840</u>	<u>nil</u>
	<u>422,840</u>	<u>140,000</u>
Current assets		
Inventories (Exhibit 3)	70,000	50,000
Trade receivables (Exhibit 3)	80,000	45,000
Cash and cash equivalents (Exhibit 3)	<u>19,360</u>	<u>20,000</u>
	<u>169,360</u>	<u>115,000</u>
Total assets	<u>592,200</u>	<u>255,000</u>
Equity and liabilities		
Share capital (\$1 shares)	140,000	60,000
Retained earnings	120,000	45,000
Other components of equity	<u>52,200</u>	<u>35,000</u>
Total equity	<u>312,200</u>	<u>140,000</u>
Non-current liabilities		
Long-term borrowings	120,000	30,000
Deferred tax (Exhibits 2 and 3)	<u>60,000</u>	<u>15,000</u>
Total non-current liabilities	<u>180,000</u>	<u>45,000</u>
Current liabilities		
Trade and other payables	70,000	55,000
Current tax payable	30,000	15,000
Total current liabilities	<u>100,000</u>	<u>70,000</u>
Total liabilities	<u>280,000</u>	<u>115,000</u>
Total equity and liabilities	<u>592,200</u>	<u>255,000</u>

Note 1:

On 1 April 20X3 Alpha acquired 48 million shares in Beta by means of a share exchange. This gave Alpha control of Beta. On 1 April 20X3 Alpha issued two shares in exchange for every three Beta shares acquired when the fair value of an Alpha share was \$4.20.

Alpha incurred costs of \$2.5 million relating to the issue of Alpha shares and \$3.5 million relating to due diligence costs. Alpha included the fair value of the shares issued, plus the above issue and due diligence costs of \$6 million, as part of financial assets. On 1 April 20X3 Beta had retained earnings of \$25 million and other components of equity of \$35 million.

On 1 April 20X3 the fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of:

- (i) Property, plant and equipment which had a fair value of \$20 million in excess of its carrying amount in the financial statements of Beta. On 1 April 20X3 the useful life of this property, plant and equipment was five years.
- (ii) An internally developed brand of Beta which had a fair value of \$15 million on 1 April 20X3. On 1 April 20X3 the useful life of this internally developed brand was ten years.
- (iii) A contingent liability which had a fair value of \$10 million on 1 April 20X3. This contingency was resolved during the year ended 31 March 20X4.

The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred tax. The income tax rate is 20%.

The directors of Alpha measured the non-controlling interest in Beta at its fair value at the date of acquisition. On 1 April 20X3 the fair value of the non-controlling interest was \$33 million.

The goodwill is not impaired at 31 March 20X5.

Note 2:

Since 1 April 20X3 Alpha has been supplying goods to Beta. Alpha marks up its cost by 33.33% when computing Beta's invoiced price. On 31 March 20X5 the inventories of Beta included \$16 million in respect of these goods.

Any unrealised profits should be regarded as temporary differences for the purposes of computing deferred tax. The income tax rate is 20%.

On 28 March 20X5 Beta made a payment of \$15 million to Alpha relating to amounts owing in respect of the purchase of these goods. Alpha received and recorded this payment on 3 April 20X5. No other intra-group amounts were outstanding at 31 March 20X5.

Note 3

On 1 April 20X3 Alpha made a loan of \$40 million to a key supplier. Alpha incurred costs of \$2 million in arranging the loan. The terms of the loan were that interest of \$2.5 million is payable annually in arrears on 31 March. On 31 March 20X6 the loan is repayable at a premium. The effective annual rate of interest on this loan (which can be used in all relevant calculations) is approximately 7%. Alpha did not elect to measure this loan asset at fair value through profit or loss. On 1 April 20X3, Alpha estimated that the probability of payment of the interest due on 31 March 20X4 was 100% so that the 12-month expected credit losses relating to this loan were zero.

On 31 March 20X4, Alpha received the interest payment of \$2.5 million which was due on that date. On 31 March 20X4, Alpha measured the loan at its amortised cost with no loss allowance deemed necessary as the assessment of expected credit loss was unchanged from initial recognition.

During the year ended 31 March 20X5, the supplier began to face significant financial difficulties and just before 31 March 20X5 Alpha received reliable information that the supplier was insolvent. The supplier was not able to make the further payment of \$2.5 million which was due on 31 March 20X5 and Alpha was told that the only further amount which will be received in respect of this loan will be a payment of \$30 million on 31 March 20X6. Based on this information, Alpha considered that the loan to the supplier was credit impaired at 31 March 20X5.

The financial assets of Alpha at 31 March 20X5 as shown in exhibit 1 include the carrying amount of the loan to the supplier as correctly measured at 31 March 20X4. No entries have yet been made regarding this loan in the current period.

Question 2

Note 1:

On 1 October 20X4 Gamma began to lease a machine. The lease gave Gamma the sole right to direct the use of the machine and receive all the economic benefits arising from its use. The lease was for a five-year term, with annual rentals of \$200,000 being payable in advance. The first rental was paid on 1 October 20X4 and the final rental is due for payment on 1 October 20X8. The total estimated useful life of the machine on 1 October 20X4 was ten years. There are no terms in the lease agreement that allow the lease to be extended beyond the five-year term. The annual rate of interest implicit in the lease is 8%. On 1 October 20X4 when the first rental was paid Gamma debited \$200,000 to profit or loss. Gamma has made no other entries regarding this lease in its draft financial statements for the year ended 31 March 20X5.

8% discount factors which may be relevant are as follows:

Cumulative present value of \$1 payable in:

	\$
1 year	0.926
2 years	1.783
3 years	2.577
4 years	3.312
5 years	3.993

(9 marks)

Note 2:

On 1 April 20X4 Gamma purchased an overseas property on credit for 4.4 million crowns. Of the initial carrying amount, 60% of the value of the property was attributed to the buildings element. On 1 April 20X4 Gamma estimated that the useful life of the buildings element was 40 years. On 30 June 20X4 Gamma paid 4.4 million crowns to the seller.

Gamma uses the revaluation model to measure property. On 31 March 20X5 Gamma estimated that the fair value of the property was 4.8 million crowns.

The only entries made by Gamma in its draft financial statements regarding the purchase of the property were to record the cash paid on 30 June 20X4 as an operating expense in the statement of profit or loss.

Relevant exchange rates are:

Date	Exchange Rate
1 April 20X4	2 crowns to \$1
30 June 20X4	1.76 crowns to \$1
31 March 20X5	1.60 crowns to \$1

(8 marks)

Note 2:

1. The draft financial statements of Gamma for the year ended 31 March 20X5 show a profit after tax of \$10 million. This amount is before taking account of the implications of the information in exhibits 1 and 2.
 2. On 1 April 20X4 Gamma had 70 million ordinary shares and 50 million preference shares in issue. The preference shares are irredeemable, and any preference dividends are discretionary.
 3. On 1 October 20X4 Gamma made a 1 for 4 rights issue. The new shares were issued at a price of \$1 per share. On 1 October 20X4 the shares of Gamma had a listed price of \$1.50 immediately before the rights issue. The rights issue was fully taken up.
 4. On 31 December 20X4 Gamma paid a dividend of \$3 million to its ordinary shareholders and \$2 million to its preference shareholders. These were the only dividends paid by Gamma in the year ended 31 March 20X5.
-

Requirements

Gamma prepares financial statements to 31 March each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Lease of machine – information on the lease of a machine during the year ended 31 March 20X5.
2. Purchase of property – details of a property purchased during the year ended 31 March 20X5.
3. Additional information – further information regarding the financial statements of Gamma for the year ended 31 March 20X5

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Question 3

Note 1:

Omega has a herd of 300 cattle which are all six months old on 31 March 20X5 and a herd of 200 sheep which are all one year old at 31 March 20X5. The herd of cattle will be sold when the cattle are two years old. The herd of sheep is expected to be sold within the next 12 months.

There are two markets available to Omega in which they could sell the cattle and the sheep, Market 1 and Market 2. Market 1 is the principal market in which cattle could be sold but Omega sells its sheep in both Market 1 and Market 2 in roughly equal proportions. Therefore, neither Market 1 nor Market 2 can be identified as the principal market in which Omega could sell sheep. Relevant market prices and relevant costs of sale at 31 March 20X5 are as follows:

	Market 1		Market 2	
	Cattle	Sheep	Cattle	Sheep
	\$	\$	\$	\$
Gross selling price per animal	80	61	85	63
Transport costs per animal	4	3	5	4
Selling costs per animal	2	2	3	4

(10 marks)

Note 2

Kappa has a portfolio of equity shares which is regarded as a trading portfolio. On 1 January 20X5 Kappa purchased 20,000 shares in a listed entity and added these shares to the trading portfolio. Kappa purchased the shares for \$5.25 per share and paid a commission to the broker of 20 cents per share. Due to favourable market conditions Kappa retained these shares and they were still part of the trading portfolio at 31 March 20X5. These shares are listed on a single stock exchange. Relevant market prices (per share) are as follows:

Date	Bid price	Offer price
	\$	\$
1 January 20X5	5.00	5.25
31 March 20X5	5.80	6.10

(8 marks)

Note 3:

On 1 October 20X4 Delta acquired a new subsidiary, Zeta. The net assets of Zeta included a factory with a carrying amount of \$6 million. \$3.2 million of this amount was attributable to the buildings element. The useful life of the buildings element at 1 October 20X4 is 40 years. Delta intends to continue to use the factory for the same purpose as it was being used by Zeta prior to its acquisition. However, the factory could be used for administrative purposes with virtually no conversion costs.

Relevant fair value measurements for the factory at 1 October 20X4 are as follows:

	Land element	Buildings element	Total	Future life of buildings element
	\$ million	\$ million	\$ million	
Use as a factory	3.4	3.8	7.2	40 years
Use for administrative purposes	3.5	4.0	7.5	50 years

Delta uses the cost model to measure its property, plant and equipment in its consolidated financial statements.

(7 marks)

Requirements:

Delta prepares financial statements to 31 March each year. Delta has a number of subsidiaries which operate in a number of different business sectors.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Cattle and sheep – details of the cattle and sheep herds owned by subsidiary Omega which operates in the agricultural sector.
2. Purchase of shares – details of the purchase of shares in a trading portfolio by subsidiary Kappa.
3. Acquisition of subsidiary – information on the acquisition of subsidiary Zeta including the fair value of its factory.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Question 4

Note 1

I know during the year ended 31 March 20X5 we acquired Newby. Newby is a small company which operates in the construction industry. I also know that the shares in Newby were previously owned equally by three family members, and that Newby's borrowing was a bank loan. I had a look at Newby's audited individual financial statements for the current year. The audit report identified no issues with how the financial statements had been prepared but I don't understand how this can be correct. Newby is located in the same country as we are and is subject to the same regulatory regime. The financial statements of Newby do not appear to be wholly compliant with full International Financial Reporting Standards (IFRS standards). For example, the notes to Newby's financial statements state that all borrowing costs are expensed as they are incurred despite some of these borrowings relating to the construction of a new factory. Furthermore, the notes to Newby's financial statements don't appear to contain all the disclosures required by full IFRS standards.

Please can you answer the following questions (I don't need to know the mechanics of the consolidation process – I know that already):

1. Please explain why Newby has been allowed to prepare individual financial statements which don't appear to wholly comply with full IFRS standards.
2. Please explain if Newby will need to use full IFRS standards in its own financial statements now that it's part of our group.

(8 marks)

Note 2

You will know that during the year we made a strategic long-term investment in Sandy, an entity which is a vital part of our supply chain. I believe we purchased 40% of the shares, which carry one vote each, and that this gave us the right to appoint four of the ten directors. The other six directors are independent of each other – they don't always agree when voting. I was expecting to see Sandy included as a subsidiary in our consolidated financial statements but instead the investment has been shown as a single figure in our consolidated statement of financial position. The carrying amount of the investment is presented as \$40 million but, given the share price, I have calculated the fair value as \$42 million. I thought that equity investments that weren't consolidated needed to be measured at fair value. Please explain:

1. Why we aren't including Sandy as a subsidiary in our consolidated financial statements.
2. What method will have been used to arrive at the carrying amount of \$40 million rather than measuring the investment at fair value.

(9 marks)

Note 3

The draft financial statements indicate that in the current period we began measuring our inventory of raw materials using the weighted average cost formula. In previous periods we measured all our inventories using the first in first out formula. I have a number of questions here:

1. Are we allowed to change the measurement method in this way?
2. If we do change the measurement method for our inventory of raw materials shouldn't we change it for all of our inventories?
3. How do we ensure that the financial statements for this year are comparable with those of last year given that a different measurement method has been used for raw materials inventory?

(8 marks)

Requirements

You are the financial controller of Epsilon, a listed entity with a number of subsidiaries. The consolidated financial statements of Epsilon for the year ended 31 March 20X5 are currently being prepared. One of the directors of Epsilon has raised some queries which have arisen as a result of her review of the draft consolidated financial statements.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. New subsidiary – the financial statements of Newby.
2. Investment – details of an equity investment.
3. Measurement change – details of a change in measurement method of inventory.

This information should be used to answer the question **requirements** within the **response option** provided.

Answers

Marks

1 Consolidated statement of financial position of Alpha at 31 March 20X5

[Note: all figures below in \$'000]

	\$'000	
Assets		
Non-current assets		
Property, plant and equipment (240,000 + 140,000 + 12,000 (W1))	392,000	$\frac{1}{2} + \frac{1}{2}$
Brand (W1)	12,000	$\frac{1}{2}$
Goodwill (W2)	27,400	5 (W2)
	<u>431,400</u>	
Current assets:		
Inventories (70,000 + 50,000 – 4,000 (W4))	116,000	$\frac{1}{2} + \frac{1}{2}$
Trade receivables (80,000 + 45,000 – 15,000)	110,000	$\frac{1}{2} + \frac{1}{2}$
Financial asset (W5)	28,037	$\frac{1}{2} + \frac{1}{2}$
Cash and cash equivalents (19,360 + 20,000 + 15,000 (cash in transit))	54,360	$\frac{1}{2} + \frac{1}{2}$
	<u>308,397</u>	
Total assets	<u><u>739,797</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital (\$1 shares)	140,000	$\frac{1}{2}$
Retained earnings (W4)	114,257	9 (W4)
Other components of equity (W6)	49,700	1
	<u>303,957</u>	
Non-controlling interest (W3)	36,840	1 (W3)
Total equity	<u>340,797</u>	
Non-current liabilities		
Long-term borrowings (120,000 + 30,000)	150,000	$\frac{1}{2}$
Deferred tax (W7)	79,000	$1\frac{1}{2}$ (W7)
Total non-current liabilities	<u>229,000</u>	
Current liabilities		
Trade and other payables (70,000 + 55,000)	125,000	$\frac{1}{2}$
Current tax payable (30,000 + 15,000)	45,000	$\frac{1}{2}$
Total current liabilities	<u>170,000</u>	
Total liabilities	<u>399,000</u>	
Total equity and liabilities	<u><u>739,797</u></u>	<u><u>25</u></u>

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS ARE IN \$000 UNLESS OTHERWISE STATED.

Working 1 – Net assets table for Beta

	1 April 20X3 \$'000	31 March 20X5 \$'000	For W2	For W4
Share capital	60,000	60,000	$\frac{1}{2}$	
Retained earnings:				
Per financial statements of Beta	25,000	45,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustment to PPE	20,000	12,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustment to Brand	15,000	12,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustment to contingent liability	(10,000)	Nil	$\frac{1}{2}$	$\frac{1}{2}$
Deferred tax on fair value adjustments:	(5,000)	(4,800)	$\frac{1}{2}$	$\frac{1}{2}$
Other components of equity	35,000	35,000	$\frac{1}{2}$	
Net assets for the consolidation	<u>140,000</u>	<u>159,200</u>	<u>$3\frac{1}{2}$</u>	<u>$2\frac{1}{2}$</u>
			⇒ W2	⇒ W4

Post-acquisition increase in net assets (159,200 – 140,000) = 19,200

Working 2 – Goodwill on acquisition of Beta

	\$'000	
Cost of investment:		
Shares issued by Alpha – 48 million x 2/3 x \$4.20	134,400	1
Non-controlling interest at date of acquisition	33,000	1/2
Net assets at date of acquisition (W1)	(140,000)	3 1/2 (W1)
Goodwill at date of acquisition	27,400	5

Working 3 – Non-controlling interest in Beta

	\$'000	
At date of acquisition	33,000	1/2
20% of post-acquisition increase in net assets (20% x 19,200 (W1))	3,840	1/2
	36,840	1

Working 4 – Retained earnings

	\$'000	
Alpha – per draft SOFP	120,000	1/2
Impairment of financial asset (W5)	(14,403)	3 1/2 (W5)
Due diligence costs re: acquisition of Beta	(3,500)	1/2
80% of post acquisition share of Beta' profits (80% x 19,200 (W1))	15,360	1/2 + 2 1/2 (W1)
Unrealised profit on sales to Beta (33·33/133·33 x 16,000)	(4,000)	1/2
Deferred tax on unrealised profit (20% x 4,000)	800	1/2 + 1/2
	114,257	9

Working 5 – Impairment of financial asset

	\$'000	
Carrying amount in the draft financial statements of Alpha:		
Original loan amount	40,000	1/2
Costs of issuing loan	2,000	1/2 + 1/2
	42,000	
Finance income recognised in the year ended 31 March 20X4 (7% x 42,000)	2,940	1/2
Interest payment received on 31 March 20X4	(2,500)	1/2
	42,440	
Recoverable amount at 31 March 20X5 (30,000/(1·07))	(28,037)	1/2 + 1/2
So impairment equals	14,403	3 1/2
		⇒ W4

Working 6 – Other components of equity

	\$'000	
Alpha – per draft SOFP	52,200	1/2
Cost of issuing shares to acquire Beta	(2,500)	1/2
	49,700	1

Working 7 – Deferred tax

	\$'000	
Alpha + Beta (60,000 + 15,000)	75,000	1/2
Deferred tax on fair value adjustments (W1)	4,800	1/2
Deferred tax on unrealised profit adjustment (W4)	(800)	1/2
	79,000	1 1/2

2 Lease of machine

Under the principles of IFRS® 16 – *Leases* – lessees need to create a 'right of use asset' and lease liability in respect of all leased assets, other than those leased on short-term leases or on 'low value' leases. Neither exception applies here.

(explanation of principle up to) 1

The initial carrying amount of the right of use (RoU) asset and lease liability will be the present value of the lease payments not yet paid using the rate of interest implicit in the lease (8% in this case) with the RoU asset adjusted by the initial payment of \$200,000.

1/2

	Marks
This initial carrying amount of the asset will be \$862,400 (\$200,000 + (\$200,000 x 3.312 = 662,400)).	½ + 1
The RoU asset will be depreciated over the shorter of lease term and the useful life of the leased assets. In this case, this means over five years from 1 October 20X4 so the depreciation charge for the year ended 31 March 20X5 will be \$86,240 (\$862,400 x 1/5 x 6/12).	½ + 1
The RoU asset at 31 March 20X5 will have a carrying amount of \$776,160 (\$862,400 – \$86,240). This amount will be presented under non-current assets.	½ + ½
The incorrect debiting of \$200,000 to profit or loss should be corrected by debiting to the RoU asset (see above) to calculate the correct depreciation charge.	½
The lease liability will attract a finance cost of \$26,496 (\$662,400 x 8% x 6/12).	½ + 1
The lease liability at 31 March 20X5 will be \$688,896 (\$662,400 + \$26,496). \$173,504 of this amount will be presented as a current liability (\$200,000 less 6 months finance charge \$26,496), with the balance of \$515,392 being non-current.	½ + ½ + ½
	9

Purchase of property

Under the principles of IAS® 21 – <i>The Effects of Changes in Foreign Exchange Rates</i> – the property will initially be recorded using the rate of exchange in force at the date of purchase.	(principle) 1
Therefore the property will be recorded at an initial carrying amount of \$2.2 million (4.4 million crowns/2). A liability of \$2.2 million will also be recorded.	½ + ½
When the liability is settled on 30 June 20X4, a payment of \$2.5 million will be required (4.4 million crowns/1.76). This will create an exchange loss of \$300,000 which will be debited to profit or loss.	½ + ½ + ½
Under the principles of IAS 16 – <i>Property, Plant Equipment</i> – the buildings element of the property will be depreciated over its useful life of 40 years. This means that depreciation of \$33,000 (\$2.2 million x 60% x 1/40) will be required for the year ended 31 March 20X5.	½ + 1
Since the property is measured using the revaluation model, the closing carrying amount will be its fair value in crowns translated into \$ using the rate of exchange in force at the year end. In this case, the closing \$ carrying amount will be \$3 million (4.8 million crowns/1.60).	1
The valuation gain of \$833,000 (\$3 million – (\$2.2 million – \$33,000)) will be recognised in other comprehensive income under the principles of IAS 16.	1 + ½
The property will be presented as a non-current asset in the statement of financial position at its closing carrying amount of \$3 million.	½
	8

Computation of earnings per share

\$10,254,264 (W1)/81,250,000 (W2)	4 (W1) + 3½ (W2)
So EPS equals 12.6 cents.	½
	8
	25

Working 1 – Earnings for EPS purposes

	\$	
Profit as per draft financial statements	10,000,000	½
Adjustments due to exhibits 1 and 2 (where figures have been incorrectly calculated earlier in the question but appropriately used as an adjustment then marks will be awarded here under the 'own figure' rule):		
Lease rental (exhibit 1)	200,000	½
Depreciation of right of use asset (exhibit 1)	(86,240)	½
Finance cost re: right of use asset (exhibit 1)	(26,496)	½
Payment for property incorrectly charged to P/L (exhibit 2)	2,500,000	½
Exchange loss on property (exhibit 2)	(300,000)	½
Depreciation of property (exhibit 2)	(33,000)	½
Dividend paid to preference shareholders	(2,000,000)	½
Earnings for EPS purposes	<u>10,254,264</u>	<u>4</u>

Marks

Working 2 – Number for EPS purposes

70 million $\times \frac{6}{12} \times \$1.50 / \$1.40$ (W3) + 70 million $\times \frac{5}{4} \times \frac{6}{12}$
So number equals 81.25 million.

$$\begin{array}{r} \frac{1}{2} + 1\frac{1}{2} \text{ (W3)} \\ + 1 + \frac{1}{2} \\ \hline 3\frac{1}{2} \end{array}$$

Working 3 – Theoretical ex-rights price

	Number	\$	
Pre-rights	4	6.00	$\frac{1}{2}$
Rights issue	1	1.00	$\frac{1}{2}$
Post-rights	<u>5</u>	<u>7.00</u>	

So theoretical ex-rights price is \$1.40.

$$\begin{array}{r} \frac{1}{2} \\ \hline 1\frac{1}{2} \\ \hline \Rightarrow \text{W2} \end{array}$$

3 Cattle and sheep

Under the principles of IAS 41 – *Agriculture* – cattle and sheep are biological assets which are measured at fair value less costs to sell in the financial statements.

1

Under the principles of IFRS 13 – *Fair Value Measurement* – the fair value of an asset is the price which would be received to sell the asset in an orderly transaction between market participants.

1

Where more than one market exists for the asset, attempts should be made to identify the principal market for the asset. Where the principal market is identified, this market price should be used to establish fair value.

1

In the case of Omega's cattle, these should be measured with reference to market prices in Market 1. The fair value will be the **market price** in market 1 less the costs of **transporting** the cattle to market. The selling costs will be a further deduction to arrive at the IAS 41 value.

$$\frac{1}{2} + \frac{1}{2}$$

Therefore the cattle of Omega will be measured at their fair value ($300 \times (\$80 - \$4) = \$22,800$) less costs to sell ($300 \times \$2 = \600). The net measurement will be \$22,200 ($\$22,800 - \600).

1

Because the cattle will be used by Omega for more than 12 months, the cattle will be presented as a non-current biological asset in Delta's consolidated statement of financial position at 31 March 20X5.

$\frac{1}{2}$

Where it is not possible to identify a principal market for the sale of an asset, then the entity should use the most advantageous market as a means of identifying fair value.

$\frac{1}{2}$

The most advantageous market is the one in which the expected net proceeds (after deducting selling costs) are the higher.

$\frac{1}{2}$

In the case of Omega's sheep, the expected net proceeds of sale of sheep in Market 1 are \$56 ($\$61 - \$3 - \2) and the expected net proceeds of sale in Market 2 are \$55 ($\$63 - \$4 - \4). Therefore Market 1 is the most advantageous market and should be used to measure the fair value of Omega's sheep.

$$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$$

Therefore the sheep of Omega will be measured at their fair value ($200 \times (\$61 - \$3) = \$11,600$) less costs to sell ($200 \times \$2 = \400). The net measurement will be \$11,200 ($\$11,600 - \400).

1

Because the sheep will be sold by Omega within 12 months, the sheep will be presented as a current biological asset in both Omega and Delta's statement of financial position at 31 March 20X5.

1

10

Purchase of shares

Under the principles of IFRS 9 – *Financial Instruments* – the trading portfolio would be a **financial asset** which is measured at **fair value through profit or loss** because of the **business model** for managing the financial asset.

$$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$$

Under the principles of IFRS 13, the fair value would be measured based on the price at which Kappa could sell the shares.

1

Therefore on 1 January 20X5, the shares would be recognised in financial assets at their fair value of \$100,000 ($20,000 \times \5).

1

The difference (of **\$9,000**) between the total price paid for the shares of \$109,000 ($20,000 \times (\$5.25 + \$0.20)$) and their initially recognised fair value of \$100,000 would be a **transaction cost which would be recognised in the statement of profit or loss** for the year ended 31 March 20X5.

$$1 + 1$$

On 31 March 20X5, the shares would be re-measured at their fair value of **\$116,000** (20,000 x \$5.80). The re-measurement difference of **\$16,000** (\$116,000 – \$100,000) would be recognised in **the statement of profit or loss** for the year ended 31 March 20X5. The shares would be presented under **current assets** in the consolidated statement of financial position of Delta at 31 March 20X5.

$\frac{1}{2} + \frac{1}{2} + 1 + \frac{1}{2}$
8

Acquisition

Under the principles of IFRS 3 – *Business Combinations* – the ‘cost’ of Zeta’s factory to Delta will be its fair value at the date of acquisition.

1

Under the principles of IFRS 13, the fair value of a **non-financial asset** is based on the **highest and best use** for a potential purchaser, **irrespective** of the use to which the asset is being put by the user. Therefore the fair value (and the deemed cost to Delta) of the factory at 1 October 20X4 will be \$7.5 million.

$\frac{1}{2} + \frac{1}{2} + 1$

The buildings element of the factory will be depreciated over its **useful life**. Given that Delta will continue to use the building as a factory, rather than for administrative purposes, this will be **40 years**.

$\frac{1}{2} + 1$

Therefore the depreciation charge for the year ended 31 March 20X5 will be \$50,000 (\$4 million x $\frac{1}{40}$ x $\frac{6}{12}$).

1

The closing carrying amount of the factory will be \$7,450,000 (\$7.5 million – \$50,000). This will be shown as a non-current asset in Delta’s consolidated statement of financial position.

$1 + \frac{1}{2}$

7

25

4 Newby

Because Newby was previously owned by three private shareholders and does not operate in the banking or finance sector, it is regarded as an entity which is not **publicly accountable**.

1 + 1

In these circumstances, Newby is **permitted, but not required**, to adopt the simplified form of financial reporting set out in the IFRS for Small and Medium Sized Entities (**the IFRS for SMEs**).

1 + 1

The IFRS for SMEs restricts the recognition of assets and liabilities in certain circumstances (e.g. borrowing costs are always expensed under the IFRS for SMEs). In addition, the disclosure requirements of the IFRS for SMEs are less than for full IFRS standards.

1 + 1

Even though Newby is now part of a group which will use full IFRS in its consolidated financial statements, Newby would **still be able** to use the IFRS for SMEs in its own individual financial statements. **Adjustments** would of course be required at consolidation level to make the consolidated financial statements fully IFRS standard compliant.

$1 + 1$

8

New investment

Under the principles of IFRS 10 – *Consolidated Financial Statements* – Sandy would be a subsidiary if we were in a position to control its operating and financial policies.

1

In this case, whilst the investment is long term and substantial, it does not give us control, so consolidation is inappropriate.

1

Under the principles of IAS 28 – *Investments in Associates and Joint Ventures* – the 40% shareholding in Sandy, being **greater than 20%**, would be presumed to give us **significant influence** over the operating and financial policies of Sandy.

1 + 1

Given the fact that we are **able to appoint four of the ten members of Sandy’s board of directors**, and there is **no evidence that the other shareholders or board members are acting in concert to prevent us from exercising this influence**, then the presumption of significant influence **would** appear to be appropriate in this case.

1 + 1

Therefore IAS 28 would regard Sandy as an associate.

1

IAS 28 requires that investments in associates are measured using the **equity method**. This method **initially measures the investment at cost**, but then **adjusts the carrying amount by the investing entity’s share (40% in this case) of the post-acquisition change in net assets of the investee entity (Sandy in this case)**. This amount is **not necessarily** the same as the fair value of the investment at any given date.

$\frac{1}{2} + 1 + \frac{1}{2}$

9

Marks

Measurement change

The decision to measure raw materials inventory using the weighted average cost formula rather than the first in first out formula represents a **change in accounting policy**. This is because it represents a change in the principles under which assets are measured.

1

Under the principles of IAS 8 – *Accounting Policies, Changes in Accounting Estimates and Errors* – accounting policy changes **are** appropriate if the new policy would result in the financial statements providing **reliable and more relevant information about the effects of transactions, other events or conditions on the entity's financial position, performance of cash flows**.

$\frac{1}{2} + 1$

Under the principles of IAS 2 – *Inventories* – decisions about the more relevant measurement formula for inventories are made for categories of inventory having a similar nature and use to the entity. Raw materials inventory would be regarded as having a different nature and use to other types of inventory, **so it is theoretically appropriate that they could be measured using the weighted average cost formula whilst other types of inventory are measured using the first in first out formula**.

1 + 1

Where an entity changes its accounting policies in any financial period, comparability is ensured by **re-stating** prior year figures which are presented as comparatives. The comparatives are presented as **they would have been had the previous financial statements been presented using the new accounting policy**.

$\frac{1}{2} + 1$

The difference between the opening and closing equity as presented in the previous year's financial statements and the equivalent figures measured using the new accounting policy is shown as an adjustment to the opening equity for the current period and the opening equity in the previous period. These differences are presented in the statement of changes in equity (and its comparative) and do not affect reported profit or loss.

(exact wording
not required –
up to) 2

8

25